

Corporate Actions & Dividend Guide (Indian Stock Market)

This guide summarizes key corporate actions and dividend mechanics in the Indian stock market. It explains the types of corporate events, dividend types, dividend flow, and real-world examples with price behavior around dividend announcements.

1. Types of Corporate Events

Event	Meaning
Dividend	Cash paid to shareholders from company profit
Bonus Issue	Free additional shares issued to existing shareholders
Stock Split	One share divided into multiple smaller shares
Rights Issue	Discounted shares offered to existing shareholders
Buyback	Company buys its own shares from investors

2. Types of Dividends

Interim Dividend – Declared during the financial year.

Final Dividend – Declared after yearly results.

Special Dividend – Extra payout when the company has surplus cash.

3. Dividend Flow (Process)

Step	Description
1	Board meeting announces dividend
2	Exchange disclosure (NSE/BSE filing)
3	Ex-Date/Dividend Date
4	Record Date
5	Dividend Payment

4. Example Dividend Timeline

Event	Date Example
Announcement	5 Feb 2026

Ex-Date	11 Feb 2026
Record Date	11 Feb 2026
Dividend Payment	By 7 Mar 2026

5. Example Price Movement Around Dividend

Date	Example Price (■)
4 Feb	4600
5 Feb	4720
6 Feb	4685
7 Feb	4660
8 Feb	4665
9 Feb	4635
10 Feb	4620
11 Feb (Ex-Date)	4610
Late Feb	~4650
7 Mar	4685

6. Dividend Yield Calculation

Dividend Yield = Dividend per Share ÷ Share Price.

Example: Dividend ■110, Share price ■4600 → Yield ≈ 2.39%.

7. Investor Example

If an investor owns 100 shares and the company declares ■110 dividend:

Dividend received = ■110 × 100 = ■11,000.

8. Other Corporate Actions

Bonus Issue – Company distributes additional shares (example: 1:1 bonus doubles shares).

Stock Split – Share is divided into smaller shares (example: 1:5 split).

Rights Issue – Company raises money by offering discounted shares.

Buyback – Company repurchases shares from investors.

9. Where Dividend Announcements Appear

Official exchange filings (NSE/BSE) show announcements first. Financial platforms such as Moneycontrol, Screener, and Tickertape aggregate the information.

10. Key Observations

Typical dividend yield ranges:

0.1% – 1% → Small dividend

1% – 3% → Moderate dividend

5% – 10% → High dividend (often PSU companies).

Stock prices often rise slightly after announcement, adjust on the ex■date, and may recover afterward.